



Final Examination

On this exam, I will not cheat, use unfair means, join intentionally or unintentionally any online or offline group in which exam answers are posted or discussed, or engage in any behaviour that would commonly be deemed academically unethical.

I acknowledge that I may be suspended or expelled from Brac University if I am found to have engaged in any academically unethical behaviour.

I understand that a certain percentage of students will be randomly selected for a viva after the exam and asked about their exam answers and related information and that if called for a viva, that I must appear for the viva within a designated time frame.

I understand and accept that the viva may be scheduled at any point in time after I submit my answers online.

I understand that if I do not appear for the viva without a valid reason, it will be considered as evidence of cheating.

An inability to explain my exam answers during the viva may also be construed as evidence of cheating. I consent to video/audio recording of these viva sessions. I further recognize that non-compliance with the above may lead to further disciplinary actions which I accept without complaint.

Q1

4.0 points possible (graded, results hidden)

a) Why is the PPF curve bowed outward. Is it due to increasing opportunity cost or decreasing opportunity cost or constant opportunity cost

Type and answer using only one of the underlined words above

b) What happens to the PPF curve during a recession? Will it shift inward or outward or remains constant

Type and answer using only one of the underlined words above

c) Suppose a technology is banned due to its adverse environmental impacts. Would the production possibility curve shift inward or outward or remain constant due to this

Type and answer using only one of the underlined words above

d) How will a policy encouraging more immigration would shift the production possibility forntier. It will shift inward or outward or remain constant

Type and answer using only one of the underlined words above

Submit

You have used 0 of 1 attempt

Q2

4.0 points possible (graded, results hidden)

Farm-A and Farm-B grow the following amounts of potatoes and cabbage in their famrs:

Farm-A takes one week to produce 101 units of potatoes and 207 units of cabbages

Farm-B takes one week to produce 127 units of potatoes and 169 units of cabbages

a) What is the opportunity cost of Farm-A to produce 20 units if cabbages

Give your answer in 2 decimal places.

☐

b) What is the opportunity cost of Farm-B to produce 12 units of potatoes

Give your answer in 2 decimal places.

☐

Submit

You have used 0 of 1 attempt

Q3

8.0 points possible (graded, results hidden)

Although there is demand in the local market, much of the demand for Bangladeshi Jute output has come from other countries. We are told that total demand is $Q = 3385 - 270P$;

where, domestic demand is $Q_{dd} = 1442 - 144 P$;

export demand is $Q_e = 1943 - 126 P$

supply is $Q_s = 1601 + 195 P$. (Note: total demand, $Q = Q_{dd} + Q_e$)

(a) What is the equilibrium market price of jute?

Please give your answer in 2 decimal places.

☐

(b) Suppose, due to the recent pandemic, the export demand for jute falls by 57 percent. What happens to the price of jute in Bangladesh?

Please give your answer in 2 decimal places.

☐

(c) Now suppose the BD government wants to buy enough jute to raise the price to \$5.5 per unit. With this drop in export demand, how much jute would the government have to buy?

Please give your answer in 2 decimal places.

☐

(d) How much would this cost the government?

Please give your answer in 2 decimal places.

☐

Submit

You have used 0 of 1 attempt

Q4

6.0 points possible (graded, results hidden)

The Health Ministry is evaluating the data of the soft beverages market.

Submit answers in two decimal places if you get answers in decimals/fractions

(a) Find the Total Surplus.

The authority is concerned about the increasing obesity rate in the country. Hence, they have decided to impose a tax of TK 15 per unit on soft drinks.

Submit answers in two decimal places if you get answers in decimals/fractions

(b) What is the total of new consumer surplus and producer surplus after government intervention?

Submit

You have used 0 of 1 attempt

Q5

6.0 points possible (graded, results hidden)

You are an economist. Your friend started a new business selling masks. She asked for your help in making some important decisions. From the data obtained from her, you computed the Price Elasticity of Demand (PED) of Masks, and found absolute PED in February was 1.26, and since then the absolute PED of Masks declined by 30% in June.

(a) Based on the PED of June, you would advise your friend for an **increase/decrease/unchanged** in the price -

Insert one word answer (increase/decrease/unchanged)

(b) The market price of the mask in July was Tk15 per unit. The total revenue earned in July was Tk300. You received the data for August and observed that the price now in August is Tk26 per unit and the quantity of masks sold in August is 9 units.

Calculate the absolute value of Price Elasticity of Demand (PED) for masks from July to August.

Do not convert into percentage. Give your answer in 2 decimal places. E.g. If you get PED = -0.253 then submit 0.25

Submit

You have used 0 of 1 attempt

Q6

6.0 points possible (graded, results hidden)

A perfectly competitive firm has the following short-run total cost.

Quantity	Total cost (in Taka)	Average total cost	Variable cost	Average variable cost	Marginal cost
0	3.0				
1	8.0				
2	11.0				
3	16.0				
4	23.0				
5	32.0				
6	43.0				

(a) Calculate this firm's marginal cost for output level 5.

Give your answer in 2-decimal places.

(b) Calculate this firm's marginal cost for output level 6.

Give your answer in 2-decimal places.

(c) What is the average total cost at which, this firm reaches its break even-point?

Give your answer in 2-decimal places.

(d) What is the average variable cost at which, this firm reaches its shut-down point?

Give your answer in 2-decimal places.

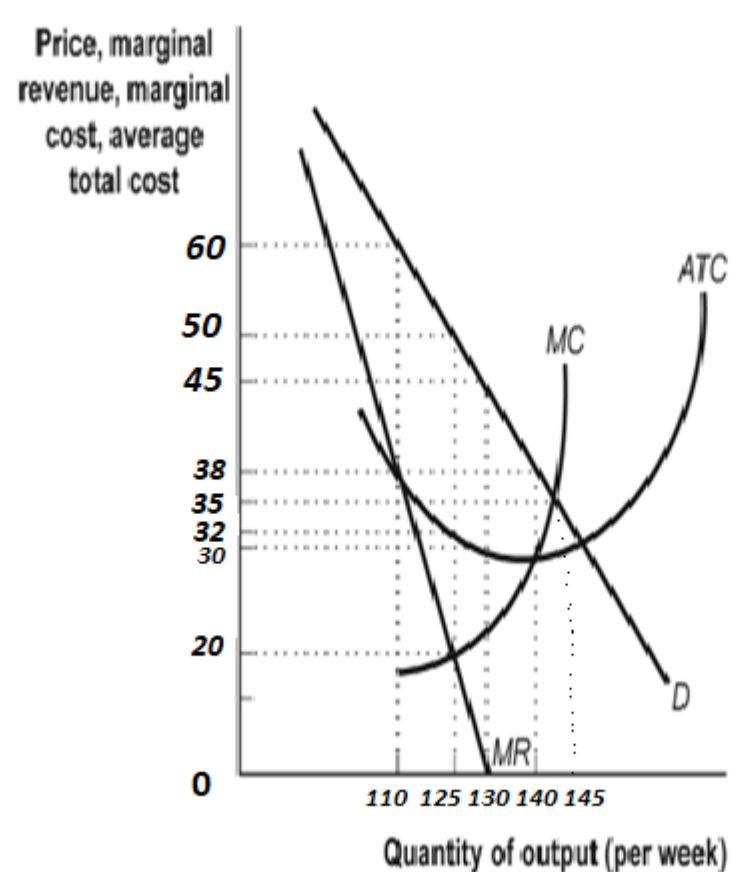
Submit

You have used 0 of 1 attempt

Q7

6.0 points possible (graded, results hidden)

The graph below shows the Market conditions of Honey's Laundry service, which is the only laundry in Banani Residential Area. Considering the shop as a Monopoly market, answer the following questions:



(a) In order to maximize profit, how many clothes does the shop clean ? [Answer in numerical value only without any unit]

(b)If the opening of five new laundry turns it into a perfectly competitive market, what should be the price Sunny's laundry be charging now?[Answer in numerical value only without any unit]

☐

(c)Compute the change in total revenue between part a and part b.[Answer in numerical value only without any unit]

☐

You have used 0 of 1 attempt